

SESSION 6

What You Need to Do

The P&L Lens · PDGMS TPM Yoga v4

This is your action guide for Session 6. Everything here is about one shift: stop measuring your work by what you built, and start measuring it by which P&L line moved and by how much. Three tabs. Real numbers. One decisive recommendation.

The One Thing This Session Is Installing

Every project you run either moves a P&L line by a specific Rs amount — or you don't yet know what it's worth. The goal is to always know.

Before this session

"We implemented the CRM and improved efficiency."

After this session

"The CRM cut quote turnaround from 5 days to 2, raising win rate from 22% to 28%, adding Rs 3.36 Cr to the revenue line."

Build a Google Sheet with Three Tabs

1

P&L Read — Financial Diagnosis

Read a real MSME P&L. Find the 3–5 lines that look like pressure points. For each one, write six things in the sheet.

2

Impact Map — Project-to-P&L Connection

For 2–3 real projects you're running or have run, trace the full chain from what you built to a Rs number.

3

Priority Sequence — What to Work On

List every project you could work on. Sequence by impact. End with one decisive recommendation.

Tab 1 — P&L Read: What to Write for Each Pressure Point

For each of your 3–5 pressure point lines, capture these six things:

Block	What to write	Why it matters
Line item + amount	Name and Rs value — e.g. “Raw Material: Rs 97.2 Cr”	Anchors you in real numbers, not just percentages
% of revenue	What share of the top line this cost consumes	Proportionality shows you the magnitude
Trend (YoY)	Growing, shrinking, or flat — and by how much	Direction tells you urgency
Operational story	What this number TELLS you about how the business runs — the diagnosis, not the definition	This is where textbook reading ends and operator reading begins
MD’s worry	What the MD likely feels about this line	Financial fluency is emotional intelligence with a spreadsheet
Hypothesis	2–3 possible operational causes for the trend	Hypotheses are what you bring to the conversation — the MD confirms or corrects

Arrange spatially — revenue at the top, COGS cluster below it, operating expense branches spreading out. Mirror the financial flow: revenue → gross profit → EBITDA. Not a list. A map.

Tab 2 — Impact Map: The Four-Step Chain

Every project’s impact map follows the same chain. Each link must be traceable — the MD should be able to ask “how?” at every step and get a specific answer.

Step	What it answers	Example	The test
1	Project	Quoting process redesign — parallel review, standard templates	<i>One line. Not an essay.</i>
2	Operational metric	Quote turnaround: 5.2 days → 2 days	<i>A specific number, not a vague improvement. Source it.</i>

Step	What it answers	Example	The test
3	P&L line item	Revenue line — faster quotes raise RFQ win rate	<i>Explain WHY the metric feeds this line. Don't just name it.</i>
4	Rs delta + math	22% → 28% win rate on 400 RFQs × Rs 14L avg = Rs 3.36 Cr	<i>Show the arithmetic. MD checks it in 10 seconds.</i>

For each project also note:

- Impact type — Cost Reduction, Revenue Enablement, or Working Capital Release
- Key assumption — the one thing that must be true for your estimate to hold

A guess: "This project will save approximately Rs 50 Lakh." A defensible estimate: "Current waste 8% × Rs 40 Cr = Rs 3.2 Cr. Target 6.75% × Rs 40 Cr = Rs 2.7 Cr. Annual saving: Rs 50 Lakh. Key assumption: half the gap is closeable without capital investment."

Tab 3 — Priority Sequence: How to Choose

List every project you could work on. Map each to a Rs impact number. Then sequence using three criteria in order:

- Rs magnitude first — always convert to absolute Rs before comparing. A 2% improvement on Rs 97 Cr is worth Rs 1.94 Cr. A 20% improvement on Rs 40 Lakh is Rs 8 Lakh. Chase the big lines.
- Dependency logic second — does Project A produce data or trust that Project B needs? Do A first. Map the direction explicitly.
- Speed to first result third — when will the MD see the first measurable movement? Not project completion — first movement.

Capture	What to write
All projects listed	Every project — current and potential
Rs delta + P&L line	Annual impact estimate with the math shown
Effort	Months + resources — be honest, don't underestimate to justify a favourite

Capture	What to write
Speed to first result	When does the first number move?
Dependencies	Which project unlocks which? Map the direction.
Priority rank	Sequenced by magnitude → dependency → speed
The one to push hardest	A single decisive recommendation, defended by P&L data. Not a menu. A prescription.

The MD's biggest anxiety is almost always financial. The P&L tells you exactly where to look before he says a word. Your sequence should answer his question before he asks it.

Don't Miss This: Working Capital

Working capital doesn't appear on the P&L but it's often the MD's number one financial pain. The formula:

Working Capital Days = Inventory Days + Receivable Days – Payable Days

If inventory days are 85 vs. industry norm of 55, that extra 30 days on Rs 180 Cr revenue = Rs 14.8 Cr of trapped cash. At 13% cost of borrowing, that's Rs 1.9 Cr per year in interest the MD is paying for inventory he doesn't need. This IS the invisible lever.

Use AI to Pressure-Test Your Sheet

After you build the sheet, paste its content to an AI and ask it to score you against the rubric in the Session 6 document. Use this prompt:

Prompt to use:

"I'm going to share a P&L from an MSME I'm working with. Your job is to help me read it like an operator, not an accountant. For each major line item: (1) tell me what operational reality it reveals — not the definition, the diagnosis, (2) identify the 3 line items that represent the biggest improvement opportunities, (3) estimate the Rs impact if performance moved to industry benchmark, and (4) help me connect a project I'm running to one of these lines with a quantified delta. Don't give me textbook P&L definitions. Give me what an MD would say about each number if he were explaining his business to a trusted advisor."

After the AI review, check:

- Did the AI find a pressure point you hadn't noticed?
- Is your Rs delta defensible — or did the AI expose a gap in your math?
- Does your priority sequence hold up when challenged on magnitude?
- Can you walk the MD through your impact map in under 2 minutes without referring to notes?

The Three Mistakes to Actively Avoid

Mistake	What it looks like — and why it fails
Activity Trap	Measuring success by what you DID — “we implemented the CRM.” The MD doesn't care about the CRM. He cares which line it moved.
Wrong Lever	Building the HR dashboard because the HR head asked for it, while the raw material line is the Rs 9 Cr problem nobody named. Choose by magnitude, not by who asked loudest.
Textbook Reader	Reciting definitions instead of reading the story. Gross margin dropped 3.5 points doesn't mean “costs went up.” It means “revenue grew 11% and COGS grew 16.5% — the growth cost more than it earned.”

Quick Reference: The Impact Chain in One View

Real MSME P&L

- ↓ Financial signal exists (line item trend, ratio deviation, cost structure anomaly)
- ↓ Fellow reads the signal (“that line moved, something changed”)
- ↓ Fellow names the operational cause (“raw material yield is deteriorating”)
- ↓ Fellow connects their project to that cause (“the quality tracker catches off-spec batches”)
- ↓ **Fellow quantifies the Rs delta (“Rs 45 Lakh annual saving on the COGS line”)**

The Fellow who can't name which P&L line their project moves doesn't know what their project is worth. The Fellow who can say it clearly — with the math shown — becomes the person the MD trusts with bigger projects.